CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. EE25FEA88
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
CONFIDENTIAL - SUBJECT TO PROTECTIVE ORDER

From: Comnes, Alan <alan.comnes@enron.com>
Sent: Thu, 3 Jan 2002 20:32:04 -0800 (PST)
To: Alonso, Tom <tom.alonso@enron.com>, Alvarez, Ray <ray.alvarez@enron.com>, Badeer, Robert <robert.badeer@enron.com>, Belden, Tim <tim.belden@enron.com>, Blair, Kit <kit.blair@enron.com>, Calger, Christopher F. <f..calger@enron.com>, Choi, Paul <paul.choi@enron.com>, Dasovich, Jeff <jeff.dasovich@enron.com>, Driscoll, Michael M. <m..driscoll@enron.com>, Fischer, Mark <mark.fischer@enron.com>, Foster, Chris H. <h..foster@enron.com>, Gang, Lisa <lisa.gang@enron.com>, Gilbert ...
Subject: FW: Enron Accounting Texas Style

Funny, but it won't get picked up by Jay Leno ....

-----Original Message-----
From: Robert Weisenmiller [mailto:rbw@mrwassoc.com]
Sent: Thursday, January 03, 2002 4:16 PM
To: Comnes, Alan
Subject: Fwd: Enron Accounting Texas Style

<x-flowed>

>Delivered-To: mrwassoc@barney.sfrn.dnai.com
>From: "Bill Marcus" <bill@jbsenergy.com>
>To: "Alan Gering \(E-mail\)" <bradley@jps.net>,
> "Barry Bergman \(E-mail\)" <blbergman@rhphillips.com>,
> "Bob Finkelstein \(E-mail\)" <bfinkelstein@turn.org>,
> "Bob Kinosian \(E-mail\)" <gig@cpuc.ca.gov>,
> "Bob Weisenmiller \(E-mail\)" <rbw@mrwassoc.com>,
> "Cynthia Mitchell \(E-mail\)" <ckmitchell@powernet.net>,
> "David Argue \(E-mail\)" <david.argue@sympatico.ca>,
> "Don Fields \(E-mail 2\)" <flak2@aol.com>,
> "Eric Witkoski \(E-mail\)" <epwitkos@ag.state.nv.us>,
> "Eric Woychik \(E-mail\)" <estrategy@mindspring.com>,
> "Fred Schmidt \(E-mail\)" <fschmidt@halelane.com>,
> "JA Savage \(E-mail\)" <honest@compuserve.com>,
> "Jack Pous \(E-mail\)" <lduci@earthlink.net>,
> "Jan McFarland \(E-mail\)" <jmcfarland@worldnet.att.net>,
> "Jim Lazar \(E-mail\)" <jimlaz@callatg.com>,
> "Jim Scarff \(E-mail\)" <jes@cpuc.ca.gov>,
> "John Williams \(E-mail\)" <JWilliams@Genesis.Law.Pace.Edu>,
> "Lenny Goldberg \(E-mail\)" <lga@mother.com>,
> "Matt Brady \(E-mail\)" <bradylaw@pacbell.net>,

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ENRON-126712262590

> "Mick Davies \(E-mail\)" <mick-d@telusplanet.com>,
> "Mike Florio \(E-mail\)" <mflorio@turn.org>,
> "Kirk Sisson \(E-mail\)" <kirk@swslawyers.com>,
> "Rachel and Barry \(E-mail\)" <orlins_bergman@msn.com>,
> "Sara Myers \(E-mail\)" <ssmyers@worldnet.att.net>,
> "Shawn McMurray \(E-mail\)" <ShawnM@ag.state.ar.us>,
> "Tom and Margie Bowman \(E-mail\)" <bowmani@mymailstation.com>,
> "Theresa Mueller \(E-mail\)" <theresa_mueller@ci.sf.ca.us>,
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> "Tom Greene \(E-mail\)" <greenet@hdcdojnet.state.ca.us>,
> "Steve Ostrover \(E-mail\)" <sostrover@econone.com>,
> "Robert McCullough \(E-mail\)" <robert@mresearch.com>
>Cc: "Energy Advocate List \(E-mail\)" <eadvocate-l@igc.topica.com>
>Subject: Enron Accounting Texas Style
>Date: Thu, 3 Jan 2002 15:28:43 -0800
>X-Mailer: Microsoft Outlook CWS, Build 9.0.2416 (9.0.2911.0)
>Importance: Normal
>X-Envelope-To: <rbw@mrwassoc.com>
>X-MDRemoteIP: 208.59.199.22
>X-MDRcpt-To: rbw@mrwassoc.com
>X-MDaemon-Deliver-To: rbw@mrwassoc.com
>
>(Courtesy of Public Utilities Fortnightly, quoting an anonymous e-mail)
>
>You have two cows. You sell three of them to your publicly listed company
>using letters of credit opened by your brother-in-law at the bank.
>
>Then you execute a debt-equity swap with an associated general offer, so you
>get all four cows back, with a tax-exemption on the fifth cow, of course.
>
>The estimated future value of the milk cash flow stream rights of the six
>cows are monetized and transferred via an intermediary to the Cayman
>Islands, secretly owned by a majority shareholder who sells the rights to
>all seven cows back to your listed company, off-balance-sheet, of course.
>
>The annual report says the company owns eight cows and recognizes milk
>revenue for its 20-year life of the cow.
>
>This is hedged with a derivative cow life insurance policy through a Cayman
>Island bank and these hedges are done through EnronOnline's commodity
>storefront with a option to buy one more cow, no balance sheet provided ...
>
>The company says it will file all footnotes to its financial statement at a
>later date ...

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